



Second-Largest Deal on Record Announced

Ticker: SLCE3 BZ | **Target Price:** 22.00 (BRL) | **Rating:** NEUTRAL

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SLC to pay ~R\$588mn and add 100k ha of leased planted area to its portfolio

SLC announced today that it signed a binding agreement to fully acquire Sierentz Agro Brasil for US\$135m (plus/minus working capital and net debt as of June 2025), or R\$779mn based on current FX. The deal includes all machinery and equipment, and should be paid in 3 installments: 1) 60% upon closing, 2) 20% on April 30, 2026, and 3) 20% on April 30, 2027.

Sierentz currently operates ~96k ha of physical leased area in the states of Maranhão (71%), Piauí (19%), and Pará (10%), and has a total potential planted area of ~135k ha when including 2nd crops.

Once the deal is closed, ~33k ha of the total physical area under operation will be divested by SLC to Terrus S.A., for a total of R\$191.2mn (more/less the working capital adjustments).

With this, SLC should ultimately add another 63k ha of leased area to its portfolio, or an additional 100k ha of planted area considering 2nd crops (+14%), with a cash disbursement of R\$588bn based on the current FX. The plan is to initially produce soybeans and corn, which Sierentz already does, and gradually incorporate cotton production from the third year of operation onwards.

The leasing contract already signed by Sierentz and that will be incorporated by SLC has an average annual cost of 9.3 soybean bags per hectare, with an average term of 13 years.

Our take: We view the deal as positive, and aligned with SLC's strategy of prioritizing growth through a more asset-light leasing model. The 100k ha planted area expansion already in the 2025/26 crop is above the company's official goal of adding ~35k ha of planted area per year, which we were also expecting.

In a back-of-the-envelope calculation, the implied leasing cost, after incorporating the final acquisition price of ~R\$588mn and assuming an average soybean price of R\$140/bag, is 14.4 soybean bags/ha (see Table 1), which is very much aligned with what we understand to be the company's average.

There were also some interesting insights provided during in the conference call that was held after the announcement. Of note:

- 1) Growth should slow down for now: SLC's focus is now on incorporating these farms into its operations, and will probably decelerate growth for the time being. The leverage ratio, at ~2x as it stands, is comfortable, but the company can drive some additional deleveraging before accelerating growth once again.
- 2) Leased and owned area portfolio is now balanced: After the deal, leases should account for precisely 2/3 of SLC's planted area, with owned areas representing the remaining 1/3, and which is very much aligned with the portfolio balance it had been pursuing for years. In the long term, as total leased areas in Brazil also gain share in the production mix, SLC's management believes this could eventually be expanded to ~3/4 of the total area. But for the time being, the 2/3 to 1/3 balance should be maintained, and this could even mean some land acquisitions down the road.
- 3) Minimum expected IRR of CDI+5% for new lease agreements is maintained: The Sierentz deal should reach this threshold after cotton areas are incorporated into the operations. For soybeans and corn, production yields are very much aligned with SLC's average.
- 4) There will be additional investments to operate the area: We understand they may be a tad below other leasing deals closed by SLC. Initial incremental investments should be concentrated in new machinery, while soil correction should be below the company's new lease average for now. Capex should intensify once cotton is added to the production mix, but with a higher EBITDA/ha to offset this.

All else equal, we see the deal adding ~R\$200mn to our 2026 EBITDA estimate (+7%), and ~3-4% to our NPV estimate. Operationally speaking, of the things that SLC can control, we see the company doing everything right, with growth happening counter-cyclically, while the balance sheet remains strong. Between 2020/21 and 2025/26, SLC will have grown its total planted area by an impressive 80%.

Still, with a low double-digit FCFE yield in 2026E (already excluding investments for growth), we view valuation as fair, but we still believe a more upbeat view on the shares will demand a more constructive view on the underlying commodities, which we do not yet have. We keep our Neutral rating.

Table 1 - SLC - Sierentz Acquisition Breakdown

Total Acquisition		
Sierentz Agro Acquisition Value	US\$mn	135.0
BRL/USD	-	5.8
Sierentz Agro Acquisition	R\$mn	779.0
Physical Area	'000 ha	96.0
Planted Area (potential)	'000 ha	135.0
Potential 2nd Crop Area	% of Physical Area	40.6%
Partial Divestiture to Terrus S.A.		
Terrus Divestiture Value	R\$mn	191.2
Physical Area	'000 ha	33.0
Planted Area (potential)	'000 ha	35.0
Potential 2nd Crop Area	% of Physical Area	6.1%
SLC Net Acquisition		
Net Acquisition Value	R\$mn	587.8
Physical Area	'000 ha	63.0
Planted Area (potential)	'000 ha	100.0
Potential 2nd Crop Area	% of Physical Area	58.7%
Average term	Years	13.0
Leasing cost	Soy bags/year/ha	9.3
Soybean price	R\$/bag	140.0
Net Acquisition Value	'000 Soy bags	4,198.2
Implied Incremental Leasing Cost	Soy bags/year/ha	5.1
Final Implied Leasing Cost	Soy bags/year/ha	14.4

Source: Company Information and Bradesco BBI

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